(i) to bring an equilibirium of liquidity in the Indian banking system and

(ii) to impart liquidity to the instruments of the money market prevalent in the economy.

The DFHI functions on ***commercial basis.*** Today, the house deals in all the instruments of the Indian money market without any ceiling, and plays the role of the ultimate body in providing stability to the liquidity in the money market as well as the banking system.

MONETARY POLICY TOOLS

Monetary policy deals with all those instruments/means by which short-term money/capital is raised in the economy, i.e., the money which is raised for a 1 to 364 days. The policy and the instruments are regulated by the Indian central bank, the RBI. The monetary policy tools used presently and their operating procedure are as given below[19]:

1. Call Money Market

The call money market is an important segment of the money market where uncollateralized borrowing and lending of funds take place on ***overnight basis***. Participants in the call money market in India currently include scheduled commercial banks (SCBs)- excluding regional rural banks), cooperative banks (other than land development banks), and primary dealers, both as *borrowers* and *lenders* (RBI's Master Circular dated 1 July 2011). Prudential limits, in respect of both outstanding borrowing and lending transactions in the call money market for each of these entities, are specified by the RBI.

2. Open Market Operations (OMOs)

OMOs are conducted by the RBI via the sale/purchase of government securities (G-Sec) to/from the market with the ***primary aim*** of modulating rupee liquidity conditions in the market. OMOs are an effective quantitative